Internal Investment Memorandum: Project Aurora

Date: October 14, 2025
To: Investment Committee
From: Deal Team (Sarah Chen, Marcus Vane)
Subject: Series B Investment in Northstar Robotics

I. Executive Summary

Cymbal Capital Partners is evaluating a **$15 million lead investment** in Northstar Robotics' $25 million Series B round. Northstar is a leader in autonomous mobile robots (AMRs) for cold-storage logistics. Since its Series A, the company has transitioned from a pure hardware vendor to a "Robotics-as-a-Service" (RaaS) model, significantly de-risking its cash flow profile.

II. Company Overview

- **Company:** Northstar Robotics
- **Headquarters:** Pittsburgh, PA
- **Founded:** 2021
- **Core Product:** The "Polaris-7" unit—a specialized AMR capable of operating in temperatures as low as -30°C.

III. Key Performance Indicators (KPIs)

Metric	FY 2024 (Actual)	FY 2025 (Projected)	Change
Annual Recurring Revenue (ARR)	$8.2M	$11.3M	+38%
Net Revenue Retention (NRR)	114%	118%	+4%
Gross Margin (Hardware)	22%	19%	-3%
Active Deployments	420 units	615 units	+46%

IV. Investment Highlights

- **Exceptional Retention:** A 118% NRR indicates that existing customers are not just staying, but expanding their fleets.
- **Strategic European Expansion:** Northstar recently launched a pilot program with *Nordic Logistics Group* in Norway. Success here unlocks a projected $40M TAM in the EU cold-chain market.
- **Proprietary Vision Stack:** Unlike competitors who rely on off-the-shelf LiDAR, Northstar's "DeepFreeze" AI vision system handles condensation and frost interference more effectively than any other unit currently on the market.

V. Risk Assessment

Critical Concern: Customer Concentration
Currently, **22% of total revenue** is derived from a single contract with *Global Grocers Inc.* A failure to renew in Q3 2026 would represent a significant hit to valuation.

- **Margin Pressure:** Global silicon shortages and rising aluminum costs have compressed hardware margins from 22% to 19% over the last 12 months.
- **Regulatory Hurdles:** New EU labor safety standards for human-robot interaction (HRI) may require a hardware retrofit for the Polaris-7 units currently in pilot.

VI. Use of Funds

The $15 million infusion will be allocated as follows:

1. **Sales & Marketing (40%):** Scaling the enterprise sales team from 5 to 12 heads to reduce customer concentration.
2. **Manufacturing & Ops (35%):** Automated assembly line upgrades in the Pittsburgh facility to offset rising material costs.
3. **Human Capital (25%):** Recruitment of two Senior Principal Engineers (Robotics/AI) and a VP of European Operations.

VII. Recommendation

Proceed with Caution. While the customer concentration is a yellow flag, the 38% YoY growth in a high-barrier-to-entry sector like cold-storage justifies the valuation. We recommend a pre-money valuation of **$110 million**.